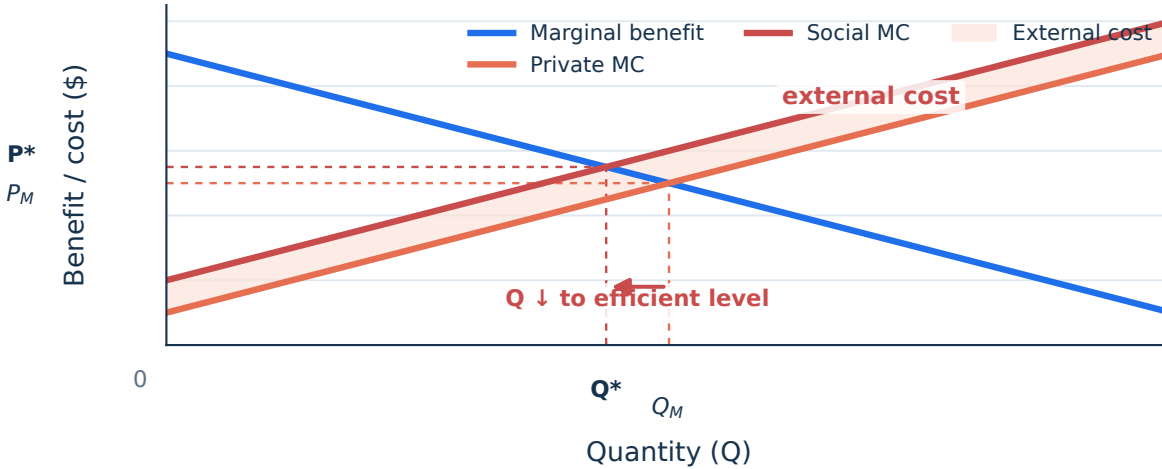
Private and social costs can imply different quantities

With a negative externality, social marginal cost lies above private marginal cost.



Source: APMICRO illustrative data / externalities.csv. | Synthetic negative-externality schedule.